

INDUSTRIAL COURT OF QUEENSLAND

Workers' Compensation and Rehabilitation Act 2003 - s. 561(1) - appeal against decision of industrial magistrate

Q-COMP AND Malcolm Hochen (C/2009/47)

PRESIDENT HALL

1 March 2010

DECISION

- [1] On 25 February 2008, Malcolm Hochen lodged an Application for Compensation with WorkCover. The injury nominated by Mr Hochen was "psychological system in general". The date of the injury was asserted to be 14 February 2008. The time was nominated as 12.00 a.m. The question "Did your injury happen over a period of time?" was answered "N/A".
- [2] By a letter dated 31 March 2008, WorkCover rejected the Application. Mr Hochen sought a Statutory Review. By a letter dated 6 October 2008, Q-COMP confirmed WorkCover's rejection of the Application. Mr Hochen appealed to the Industrial Magistrate at Bundaberg. By a decision dated 22 September 2009, the Acting Industrial Magistrate allowed Mr Hochen's appeal. Q-COMP now appeals to this Court.
- [3] For the purposes of the appeal to the Acting Industrial Magistrate, Q-COMP conceded that Mr Hochen had sustained a psychological injury, viz., an adjustment disorder with anxiety and depression, which had arisen out of or in the course of his employment and to which his employment was a significant contributing factor. The issue at trial was whether Mr Hochen's psychological injury was withdrawn from the statutory definition of "injury" at s. 32 of the *Workers' Compensation and Rehabilitation Act 2003* (the Act) by the operation of s. 32(5)(a). For completeness, although it was not a matter of concession at first instance, I add it was the evidence of the treating psychologist (Mr Rodney Nembach) that Mr Hochen suffered from paranoia and was obsessive. I mention that matter for two reasons. First, the presence of paranoia dictates the exercise of care in the evaluation of his evidence. Second, the presence of paranoia gives a context to Q-COMP's submissions which touch upon the matter of perception. As I understand the matter, Q-COMP's case is based on s. 32(5)(a) of the Act not s. 32(5)(b). Additionally, the evidence of obsession gives a context to certain interactions between Mr Hochen and his co-workers with which the evidence was much concerned. It provides an explanation for conduct which might otherwise be seen as confrontational and/or as an attempt to provoke an employer response about which he might later complain.
- [4] At all material times Mr Hochen was employed by Queensland Health at the Bundaberg Base Hospital. He was employed as a fitter. His immediate supervisor was Mr Bruce Itzstein. His section manager was Mr David Manzini. He was (on occasion) assisted by a trades assistant, viz., Mr Dietrich, and had some contact with but did not work in close proximity with a Mr Peter Hyne (who worked in another section).
- [5] It is convenient to adapt the Respondent's summary of the factors originally outlined by Counsel for Q-COMP at first instance as leading to Mr Hochen's descent into mental illness:
 - "1. On 17 August 2007 Gregory Dietrich disposed of the material for a job and then refused to request to consult in the future.
 2. Meeting 17 August 2007 with Bruce Itzstein and Gregory Dietrich and Malcolm Hochen in an attempt to resolve the issue in dispute.
 3. Meeting 31 August 2007 with David Manzini, Bruce Itzstein, Gregory Dietrich and Malcolm Hochen as a result of the issue not being resolved.
 4. On 14 February 2008, being verbally abused by Peter Hyne.
 5. The meeting held on 14 February 2008 with David Manzini, Peter Hyne, Malcolm Hochen and Mark Herbert - including:
 - Being blamed for raising the dress code issue at the staff meeting rather than directly with Manzini himself;
 - Threat of performance management action or dismissal for discussing staff matters with Mark Herbert or other BEMS staff members;

- Threat of performance management action or dismissal if he could not give an immediate undertaking to work with Peter Hyne;
- Discussing a past incident involving his witness Mark Herbert which was not relevant to the current matter.

6. Misplaced incidents reports by management.

7. With respect to the uniform issue, Peter Heath told Malcolm Hochen *'I would've got you back'.*"

Incident one, which plainly did not involve management action, was found by the Acting Industrial Magistrate not to have made any contribution to Mr Hochen's illness. Incident six occurred after Mr Hochen had decompensated. Incident seven involved an exchange between Mr Hochen and Mr Heath who was a senior manager. Mr Heath denied making the remark. Mr Hochen maintained that the comment had been made. The Acting Industrial Magistrate, who did not resolve the conflict in the evidence, placed no reliance on incident seven. I propose to say nothing further about incidents one, six and seven.

[6] It is now generally accepted that an Industrial Magistrate exercising jurisdiction under the Act must give sufficient reasons for a disappointed litigant to feel confident that the whole of his case has been considered and to be able to appreciate (if not accept) why it was that the case was decided against him. Failure sufficiently to disclose the reasoning behind a finding and disputed question of fact or an inference drawn is an error of law. Here, the case of the Appellant's written submission is that the Acting Industrial Magistrate's reasons for decision would cause a reasonable observer to wonder whether His Honour understood the case to be determined and understood the principles to be applied in the determination of the case. Unusually, the concern arises not from undue brevity but from the ideas to which His Honour's language give expression.

[7] Notwithstanding that incident one has been put aside, the trial starts with observations about incident two located within the reasons for decision dealing with incident one. The Acting Industrial Magistrate observed:

"This incident is not related to management action and therefore cannot be considered in determining whether the injury is excluded under Section 32(5) of the Act. Further, the appellant cannot rely on this incident on its own to ground his claim for compensation because, on the evidence before the court, it is not this incident itself with [sic] caused his injury, but the manner in which management dealt with this and later incidents. The thrust of his claim and evidence is that management did not properly deal with the incident, rather than the incident itself. That conclusion is evident from the evidence of himself and his psychologist, Rodney Nembach. Therefore, his claim is based upon a causal connection between his injury and management action." [Emphasis added]

It is very difficult to resist the conclusion that the Acting Industrial Magistrate was expressing satisfaction that there was a causal nexus (albeit of unspecified extent) between the way in which management dealt with incident one and Mr Hochen's psychological disorder.

[8] Management dealt with incident one at meetings on 17 August 2007 and 31 August 2007. Discussing the meeting of 31 August 2007, the Acting Industrial Magistrate said:

"I find that Manzini's conduct in this respect was unreasonable management action in the circumstances. It may be that this could be considered to be merely a blemish given that the original issues in dispute were apparently resolved at the meeting. Nevertheless, it did serve to increase the appellant's distrust of management and although this event was not the primary cause of his condition, I find that it did start the ball rolling or initiate his decompensation which was ultimately caused by the later incidents in February, 2008." [Emphasis added]

If the meeting of 17 August 2007 had a causal nexus with Mr Hochen's injury, the finding that the "ball" did not start rolling on 31 August 2007 is incorrect.

[9] If it be objected that the extracts at [7] and [8] may be reconciled by reading the extract at [7] as being confined to how incident one was managed on 31 August 2007, the difficulty is that what occurred on 17 August 2007 was put aside on the explicit basis that s. 32(5)(a) of the Act operated because the meeting of 17 August 2007 was reasonable management action taken in a reasonable way. The Acting Industrial Magistrate said:

"Therefore, the appellant cannot rely upon this incident to support his claim for compensation, as it was reasonable management action taken in a reasonable way."

Section 32(5)(a) of the Act will operate only where there is a sufficient causal nexus between the management action and the injury to satisfy one or either of the expressions "arising out of or in the course of.". The basis on which the Acting Industrial Magistrate put aside the meeting of 17 August 2007 assumes some causal nexus.

[10] There is a further difficulty with the extract at [9]. Section 32(5)(a) of the Act operates to exclude from the statutory definition of "injury" at s. 32 of the Act, psychological injuries which would otherwise be within the definition. Section 32(5)(a) of the Act does not operate to prohibit a worker from pointing to particular stressful events to satisfy the causal requirements of s. 32(1) of the Act, compare *Prizeman v Q-COMP*¹

[11] By his written argument Counsel for the Appellant contends that the Acting Industrial Magistrate erred in seeking for the primary or the dominant cause of Mr Hochen's disorder and/or treating the stressful event which caused Mr Hochen's ultimate decompensation as the cause of the disorder. Particular complaint is made of the passage:

"On the whole of the evidence, I find that this was the ultimate event that broke the camels back so far as the appellant was concerned and was the primary cause of his confirmed injury. Therefore, if any component of this meeting identifies reasonable management action taken in an unreasonable way in the circumstances, then there can be no doubt that his injury is not excluded from the definition of injury under the Act and that he would be entitled to compensation."

[12] If, indeed, the Acting Industrial Magistrate did enquire whether unreasonable management action was the dominant cause of Mr Hochen's disorder, I consider that His Honour erred. The correct inquiry is whether the psychological injury arose out of or in the course of reasonable management action taken in a reasonable way. However, if in attempting to answer the correct question, the Acting Industrial Magistrate declined to attribute the psychological injury to reasonable management action reasonably taken because of a dominant causal role played by discrete unreasonable management action, I consider His Honour to have taken the approach taken by this Court in *State of Queensland v Q-COMP*². In any event the short point is that the reasoning is not disclosed.

[13] If, indeed, by the expression "primary cause" the Acting Industrial Magistrate was intending to refer to the immediate cause of Mr Hochen's decompensation, His Honour's reasoning was incomplete. To begin with it was necessary to give consideration to the evidence of Mr Nembach about the development of Mr Hochen's condition. The evidence of Mr Nembach was not entirely clear. In examination-in-chief, Mr Nembach who, it will be remembered, was the treating psychologist, said:

"Having regard to what Mr Hochen told you, when do you think this disorder began to manifest itself? - - It's difficult to give a specific date for onset, but it would appear that it had gradually developed within the workplace, in the work environment and became manifest when he started to - or when he turned up for therapy the doctor picked up that - obviously that he wasn't coping well psychologically and referred him across, and it was then evident that he was experiencing anxiety and depression.

So, what you're saying is that it had been developing for a while or are you saying something else? - - Yeah, no, I wouldn't argue that it had been developing for some time. It usually doesn't happen overnight or that quickly; it's usually a series of events that gradually help it to develop to that level.". [Emphasis added]

The language emphasised sits ill with the remainder of the passage. However the passage must be read with Mr Nembach's evidence in cross-examination:

"Just leading on to what you were saying a little while ago, you said that his injury would have developed over some time, and you said there was a series of events? - - Yes.

Do you remember saying that? So, with these type of injuries, the psychological disorder, it is something that is caused by a series of events; so they all contribute towards the disorder? - - Yeah, that would be the case.

Yes. Sorry? - - Occasionally it may be a one-off event.

Yes? - - Like a life-threatening event that may contribute, but the majority of the time it would appear there's a number of events happening together that lead to it.

And in Mr Hochen's case, his disorder has arisen from a number of events, and not one specific event? - - I believe it would have been a number of events in the workplace that would have led to it.

¹ *Prizeman v Q-COMP* (2005) 180 QGIG 481

² *State of Queensland v Q-COMP (C/2009/42) - Decisions* <http://www.qirc.qld.gov.au>>

Yes? - - However there was a couple that he highlighted, that caused him great distress.

Yes, but these add together with the other events that caused his injury? If he's dissatisfied with his workplace, then these all add together to cause his injury? - - Yes, within the workplace. As I said earlier, I have no evidence of anywhere else."

On the whole of the evidence it seems tolerably clear that Mr Nembach's opinion* was that the disorder was an "over-time" injury which should not be attributed to the event which precipitated Mr Hochen's decompensation. [*On this issue, the opinion given by Mr Nembach was the only medical opinion. The psychiatrist (Dr Jenkins) reported the events to which Mr Hochen attributed his condition but refrained from expressing any opinion of his own about the cause of Mr Hochen's disorder.] Mr Nembach's evidence was not analysed by the Acting Industrial Magistrate.

- [14] If on proper consideration of Mr Nembach's evidence the Acting Industrial Magistrate took the view developed at [13], His Honour would have been required to consider whether the decision of this Court in *Q-COMP v Rowe*³ precluded His Honour from focussing exclusively "on the event which broke the camel's back".
- [15] As in many cases of this type the Acting Industrial Magistrate developed a basis for His Honour's ultimate conclusion which was an alternative to the basis described at [10] above. However, the alternative basis presents problems of its own. Having reached the conclusion that incident five, i.e. the meeting of 14 February 2008, might have been considered a mere blemish if it stood in isolation, His Honour expressed himself as follows:

"Although, if considered in isolation, I would be prepared to accept that the management action on this concern alone was merely a blemish, in the overall situation coupled with the earlier management action or blemish arising out of the previous meeting involving the appellant and Mr Manzini on the 31st August, 2007, there can be no doubt that a global assessment would compel a finding that there has been sufficient unreasonable management action between both meetings to support a finding that the appellants injury was materially connected to unreasonable management action in the circumstances. That being the case, the appellant's claim must succeed, even without consideration of the further concerns with the conduct of this meeting."

With respect, that passage inverts the correct test. Section 32(5)(a) of the Act requires the insurer, Q-COMP and any appellate tribunal to enquire whether the psychological injury arose out of or in the course of reasonable management action taken in a reasonable way. The presence of unreasonable management action with a sufficient causal connection to the injury may require that a negative answer be given to the question posed by s. 32(5)(a). However there is no justification for glossing the statute to the extent that the enquiry becomes whether the injury was "materially connected" to unreasonable management action. (The content of the expression "materially connected", one should add, poses problems of its own.)

- [16] For the above reasons it seems to me that Q-COMP is entitled to entertain a justifiable sense of grievance (compare *Drew v Makita*⁴) that Q-COMP was defeated by a flawed understanding of the operation of s. 32(5)(a) of the Act and was entitled to be concerned with the apparently incompatible findings of fact which have been made.
- [17] In ordinary circumstances, where as here, an Industrial Magistrate is found to have erred in law, this Court will set aside the decision of an Industrial Magistrate and rehear the matter on the record. Ordinarily the Court will be concerned to draw inference from undisputed facts, incontrovertible evidence and findings of primary fact made by an Industrial Magistrate. Here, a rehearing on the record would be a trial on the papers. Necessity may require such a course, see e.g. *Q-COMP v Foote*⁵. However, it is not the type of trial to which citizens have become accustomed. Additionally, there are unexplored pockets of evidence. For example there is evidence that incident three led to the filing of incident reports by Mr Hochen, the involvement of the employer's Human Resources Department and a further meeting. It is arguable that management were fixed with sufficient knowledge of Mr Hochen's personality to make the arrangements for the meeting of 14 November 2008 quite unreasonable. Further, there are problems of comprehension with the evidence which should not arise if the trier of fact hears the case develop and has the opportunity to ask questions. For example, on a perusal of the transcript there is room for argument that Mr Nembach gave very great weight to incident five because he thought it played out over five months. It played out in a working day. Intervention from the Bench would have been appropriate.
- [18] Notwithstanding the time and cost involved in remitting a matter for rehearing to a heavily burdened court, it seems to me that only that course is fair to the parties. There is power to take that course pursuant to s. 258(1)(e)

³ *Q-COMP v Rowe* (2009) 191 QGIG 67

⁴ *Drew v Makita* (2009) QCA 66 at [58]

⁵ *Q-COMP v Foote* (2008) 189 QGIG 539

of the *Industrial Relations Act 1999*, where as here, the reasons for decision are so deficient that the jurisdiction of the Industrial Magistrates Court may be said not yet to have been exercised.

- [19] I allow the Appeal. I order that the matter be returned to the Industrial Magistrates Court at Bundaberg and that the matter be heard according to law. I reserve all questions as to costs.

Dated 1 March 2010.

D.R. HALL, President.

Appearances:

Mr S. Gray directly instructed for the Appellant.

Mr K. Fleming QC and with him Ms L. Willson instructed by Parker Simmons for the Respondent.

Released: 1 March 2010